The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS STUDY CORNER

SOX (FRI CLOSE, FINAL)
8 days straight down, longest since 2008 · 11,137.29 (−3.83%) · MU $878.84

DDR5 SPOT
$60.60 no weekend session · TrendForce 2026-10-16 18:10 GMT+8 · TF: buyers "wait-and-see"

LEAD STORY

WEEKEND · VALUATION VS FLOWS

Fundamentals vs. Flows: BofA Says Korean Memory Trades at 2–3× Earnings, Below Past Upcycles, as Chip Stocks Log Their Longest Losing Streak Since 2008

With markets shut, the debate moved to research notes: brokers see margins holding through 2028, while desks saw the heaviest tech selling since DeepSeek.

By the Memory Cycle Desk · Tel Aviv · Data as of ~08:50 IDT · CONFIRMED unless marked

KEY NUMBERS · THE CYCLE IN NUMBERS

VALUATION (BROKER VIEWS)

BofA SKH/Sam P/E 27–28E	**2–3× (vs 4–7×)**
Jefferies Samsung P/E	**~3×**

FLOWS

SOX losing streak	**8 days (2008)**
JEF desk tech net selling, wk	**$5.5B**
Foreign selling of Sam+SKH YTD	**₩176T (86.7%)**

PRICES

DDR4 contract, 3 mo (Barclays)	**+24%**
DDR5 contract, 3 mo (Barclays)	**+20%**

KOREA CLOSE FRI OCT 16 (KRX)

Samsung	**₩215,500 (+2.62%)**
SK hynix	**₩1,272,000 (+0.79%)**
Samsung foreign ownership	**46.38% (Oct 8)**

Sources: GuruFocus/SA; Jefferies; Bloomberg; Kyunghyang; Digital Daily; TrendForce; Yonhap. **Correction:** No. 11's ₩217,000 / ₩1,265,000 were later quotes; KRX regular-session closes shown.

Bank of America says the memory selloff is "largely disconnected from memory fundamentals" (Seeking Alpha). SK hynix and Samsung are each down more than 50% from their June peaks but trade at **2–3× projected 2027–28 earnings, against 4–7× in previous upcycles**. BofA sees 2028 EPS dipping only by a single-digit percentage and PC memory contract prices **rising at least 15% a month** (GuruFocus).

The tape has not agreed. Chipmakers fell an **eighth straight day on Friday, the longest slide since 2008**, and the Nasdaq 100 had its worst week since the April 2025 tariff turmoil. The 10-year yield was 5.09% (Bloomberg). Jefferies' desk logged **$5.5B of net tech selling this week, the most since DeepSeek in January 2025**. It counts this as the seventh >9% drop in US semis since June, with positioning only mid-range. Jefferies' Korea team calls the CXMT fear "overblown": it puts the Samsung–CXMT DRAM process gap at **5–7 years** and Samsung at a "historically low ~3x P/E."

Our call: late upcycle, tight through 2027, unchanged. No new price prints this weekend; the one new data point was tighter (DDR4, below). Flows, not fundamentals, are moving the stocks.

KOREA · FOREIGN SELLING

Who Is Selling Korea: Foreigners Have Dumped ₩176 Trillion of Samsung and SK hynix This Year, 87% of Their Total



Photo: Yonhap News Agency via The Kyunghyang Shinmun

Hyundai Motor Securities data cited by the Kyunghyang Shinmun: foreigners have net sold **about ₩203T** of Kospi stocks this year, and **₩176T (86.7%)** of that is Samsung and SK hynix. Foreign ownership of Samsung fell to **46.38% on Oct 8, the lowest since January 2008**. The pension fund has deferred rebalancing and the buybacks are ending. It sees foreign buying returning only after late-October earnings, the Nov 3 midterms and a mid-November Anthropic listing. On Friday foreigners net bought ₩342.8B of Kospi stocks. Samsung was their top buy, while SK hynix was their No. 2 sell (Yonhap).

CHINA SUPPLY · CXMT

CXMT's Real Threat Is Scale, Not 4F²: Capacity Could Top 600,000 Wafers a Month

On CXMT's 4F² server DDR5 plan, a Hanyang University professor told the Korea Herald mass production this year is "practically impossible." Samsung's DS CTO said Samsung is working on 4F² too. The bigger risk is scale: new Shanghai and Hefei fabs could take CXMT **above 600,000 wafers a month** (Reuters). Its DRAM revenue share rose to **9.5% in Q2 from 7.6%** (TrendForce). It has deals with Tencent (>$3B) and ByteDance (>$7B). TrendForce also found that **revenue per wafer from 64GB DDR5 server modules passed HBM in Q1**. CXMT reports Q3 on Oct 31. CYCLE SIGNAL: 2028 SUPPLY

LEGACY DRAM · PRICING

Old Chips, New Squeeze: DDR4 Contracts Up 24% in Three Months

Barclays, cited by Digital Daily: DDR4 contract prices are **up 24% over three months versus 20% for DDR5**, as legacy lines shrink to feed HBM. The paper also cites DRAM excess demand peaking at **13.9% in 4Q27** (source not named). SECONDARY The caution is low-end NAND: eMMC spot buyers expect "further price declines" (DRAMeXchange).

FROM THE INBOX · SINCE OCT 17, 08:00 IDT · WEEKEND, THIN

NEW **Jefferies Saturday daily: capex up, CXMT "minimal threat."** TSMC capex modeled at $80–85bn FY27 and $95–100bn FY28 vs $62bn FY26 (Fubon). Hyperscaler+ORCL+META capex ~$818B CY26 (+84%), ~$1.17T CY27 (+43%). Jefferies, Oct 17

NEW **Rubin timing chatter.** A Taiwan test house (KYEC) cut estimates on "another slight Rubin 4Q delay (SLT software change after the Hynix HBM redesign)." Desk flow, not research. UNCONFIRMED Jefferies TMT flow, Oct 16

Broker roundup. UBS WFE 2027E $226B (+43%), Tokyo Electron $190B CY27. SK hynix estimated at 60–70% of Nvidia Vera Rubin HBM orders. Cantor: Memory/Storage > Compute > SPE. Weekend semis digest, Oct 18

ON X · SINCE LAST EDITION

@RealNickMugalli SECONDARY

BofA: memory multiples "bottomed after a deep correction lasting ~3.5 months"; supercycle ASPs through 2027–28.

x.com/.../2111544096762511531

@pequityresearch SECONDARY

UBS: Kioxia caps LTAs at 3 years and ~50% of volume to keep price upside; NAND short through 2027.

x.com/.../2111602910761034146

X API posts; broker views relayed on X are secondary.

CYCLE TRACKER

Unchanged: legacy DRAM firmer; flows still the driver

GAUGE	TODAY VS OCT 17 (INVENTORY, GUIDANCE: NO NEW DATA)	NUDGE
Contract vs spot	DDR4 +24% / DDR5 +20% contract, 3 mo (Barclays); spot flat; eMMC soft	**Firm; legacy tighter**
Lead times / HBM	SKH ~60–70% of Rubin HBM (est.); Rubin slip chatter unconfirmed	**Tight (carry)**
Capex vs D&A	TSMC FY27 $80–85bn; WFE 2027E +43% (UBS); hyperscaler +43%	**Demand capex up**
Supply / CXMT	$4F^2$ ramp doubted; >600k wpm possible; share 9.5% Q2	**2028 risk (carry)**
Valuation	BofA 2–3× 27–28E P/E; JEF Samsung ~3×; GS 0.9× P/B	**Pricing a downturn**
Flows / tape	SOX 8-day streak (2008); $5.5B net selling; foreigners exit Korea	**Gap wider**

VERDICT

Late upcycle; tight through 2027, unchanged. No weekend price prints; the one new read was tighter (DDR4 contracts +24% in three months). Brokers put Korean memory at 2–3× 2027–28 earnings, below past-upcycle multiples. Flows still drive the stocks: the longest chip losing streak since 2008, and foreign selling concentrated in Samsung and SK hynix. CXMT's scale is the 2028 risk already in our call.

EVENTS CALENDAR · OCT 19–31 · ISRAEL TIME

When	Event	Watch
Wed 21 · ~03:00	Korea Oct 1–20 exports (usual schedule)	chip exports
Wed 21 · AMC	Lam Research · TI · Meta	WFE / capex
Thu 22	Jefferies Memory 16:00 · Micron union mediation · WDC	HBM / HDD
Wed 28	SK hynix 3Q26 02:00 · FOMC 20:00 · KLA, MSFT, GOOGL	HBM / rates
Thu 29	Samsung 3Q26 03:00 · Sandisk, Intel, Amazon AMC	HBM / NAND
Sat 31	CXMT Q3 report (scheduled)	margins

IDT to Oct 24, IST from Oct 25. Also: Micron Taoyuan union rally and China GDP Oct 19; Seagate Oct 27; Kioxia, TEL Oct 30; US midterms Nov 3.

STUDY CORNER · DAY 13 OF 14

Capstone, part 1: write your own one-page cycle call

Task: Take five KPI-playbook gauges (contract ROC, spot vs contract, capex, HBM share, P/B). For each, write today's reading, the 2018-top reading and the number that would change your mind; run the bear case in `study/micron_bits_asp_model.xlsx`. Questions on Day 12 (veteran outreach):

1. BofA: 2–3× 2027–28 earnings vs 4–7× in past upcycles. What would you ask a veteran to tell "cheap" from "peak earnings"?

2. CXMT: $4F^2$ ramp doubted, but 600k+ wafers a month possible. For a 2028 bust, which matters more, technology or wafer count?

SOURCES & FURTHER READING

- Seeking Alpha: BofA says memory chip stock selloff looks overdone
- Bloomberg via The Edge Singapore: US chipmakers set longest losing streak since 2008
- Yonhap: Kospi close Oct 16 (regular session)
- Digital Daily: DDR4 contract prices outpace DDR5 (Barclays)
- DRAMeXchange Daily Express Oct 16
- GuruFocus: Memory chip stocks crashed 50%, BofA warning to bears
- The Kyunghyang Shinmun: foreign selling concentrated in Samsung, SK hynix
- The Korea Herald: CXMT $4F^2$ and scale
- TrendForce DRAM spot prices

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #12 · Oct 18, 2026